Business Terminology

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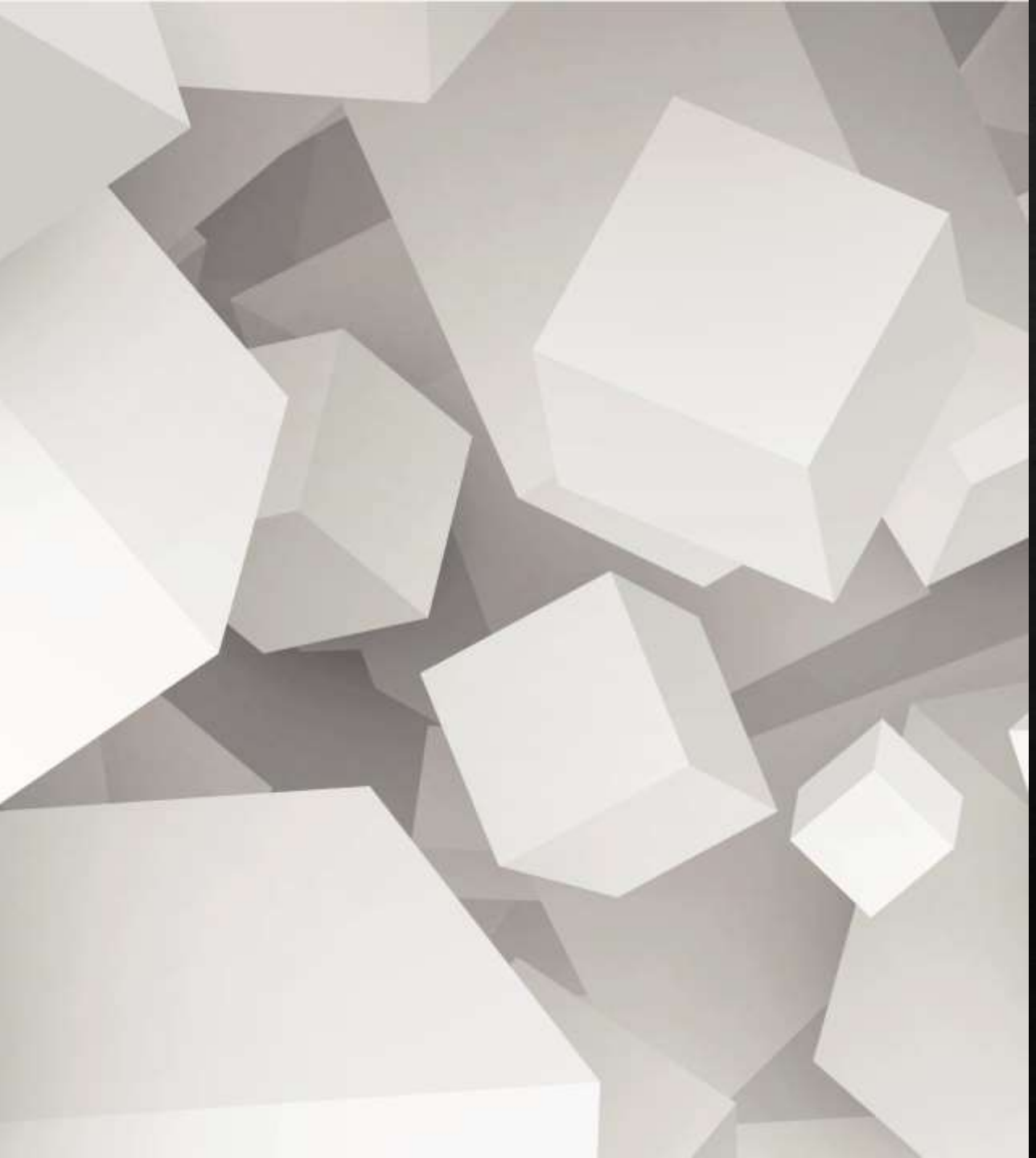


What are Business Vocabulary Words?

-Business Vocabulary enables you to communicate ideas with your industry colleagues

-Business vocabulary words and phrases are terms used to describe events, outcomes, tasks, entities and processes in the workplace

Asset

An asset is anything of value that a company possesses,

Assets include goods, products, documents, properties and other resources,

Assets might also refer to a grouping of deliverables required by a client or the organization itself,

Board of directors

The board of directors is a group of individuals who set the policies that govern a company.

Board members are elected by stockholders.

Branding

A company's branding includes the name, logo, imagery, colors, typography and language that are used to distinguish it from other businesses.

Branding is a critical part of marketing since it determines how others perceive the company.

Liability

A LIABILITY IS A FINANCIAL DEBT, RISK OR OBLIGATION.

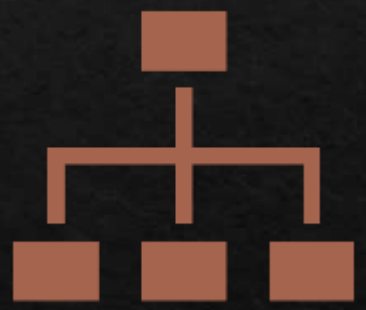
LIABILITIES INCLUDE MORTGAGES, OUTSTANDING LOANS AND ACCRUED EXPENSES.

Logistics

Logistics are the processes involved in managing and executing a complex task or project involving many people, materials, timelines and more.

Logistics may also refer to more specific processes related to supply chain management.

Objective



A company or team's objective outlines a goal that a business, team or individual is trying to achieve.

This statement of purpose will guide your actions as you plan for future successes.

Opportunity Cost

The opportunity cost is a loss as a result of choosing one action over another.

If you can choose only one option, calculating the opportunity cost of each can help you determine the best course of action.

Outsourcing

When a company gets products or services from an outside worker or supplier, it's outsourcing.

A business may outsource from another country or a different company.

Anything that is not handled in-house is outsourced.

Overhead

Financial overhead is the indirect cost associated with running a business, often related to administration, marketing and maintenance.

These costs are not associated with product manufacturing or service delivery.

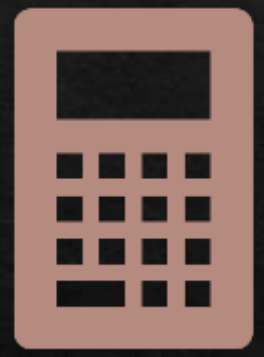
Profitability

$ A business's profitability is its ability to yield a certain financial gain in relation to its size and costs.

This is a measurement of efficiency that helps define the company's ability to produce a return on investment.

Return On Investment

Return on investment, or ROI, is the amount of profit returned on an effort in comparison with the expense.



To calculate this performance measurement, you divide the benefit of the investment by the cost.

Research and Development

Research and development, or R&D, are activities that center around invention, innovation and improvement.

In the R&D department, new technologies, messaging, processes and products are developed and tested.

Revenue

A COMPANY'S REVENUE IS ITS EARNINGS OVER A CERTAIN PERIOD. THIS INCLUDES ANY DEDUCTIONS AVAILABLE FOR RETURNED MERCHANDISE.

ON AN INCOME STATEMENT, REVENUE MAY ALSO BE CALLED SALES.

Net Income

- Also called « **Bottom Line** », is the total profit a company makes after all expenses, taxes and deductions have been accounted for.
- It is a crucial indicator of a company's financial health and profitability.

Net Income= Total Revenue – Total Expenses (including taxes, operating costs, etc)

Shareholder

A shareholder is anyone who owns one or more shares in a company.

Shareholders have a financial interest in the company, as they stand to profit if stock prices go up. However, they are not responsible for the company's debts.

Shareholders are always stakeholders, but not all stakeholders are shareholders.

Stakeholder

A stakeholder is anyone who has an interest in a company, goal or project.

Examples of stakeholders include shareholders, employees, owners, customers and vendors.

These individuals all stand to profit if the company succeeds or suffer if it fails.

Equity

- Business equity is the value of your assets after deducting your business's liabilities.

- Equity measures the amount of money that would be returned to shareholders if the business liquidated its assets and paid off its liabilities. Examples of assets include accounts receivable, cash, real estate, and patents, while liabilities include any debts owed to other institutions or individuals.

Telecommuting

- Telecommuting is working from home or another environment outside of the traditional office.
- Telecommuters typically use the internet and telephone to communicate, access information and turn in projects from a remote location

Turnover

- Turnover is the rate that employees leave and join the company.
- A business with high turnover doesn’t retain workers for long periods of time.
- Low turnover is desirable, as this means that employees stay on longer, which reduces costs and increases productivity.

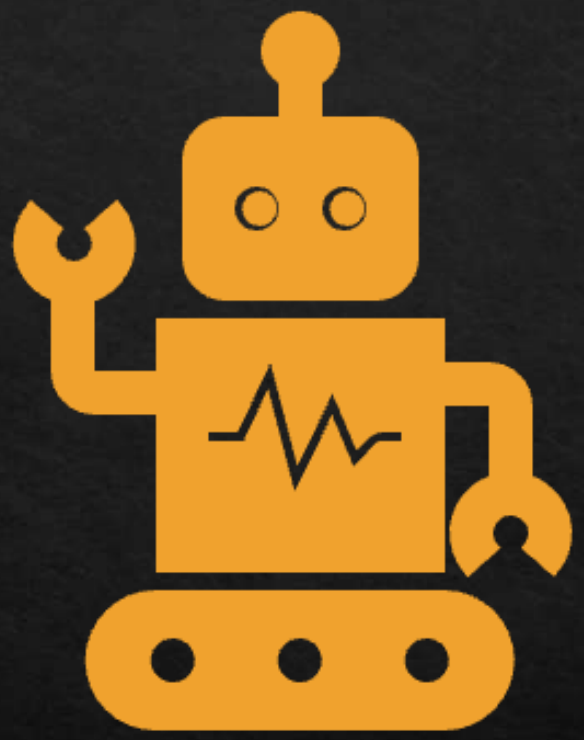
Unique Selling Proposition

The unique selling proposition, or USP, is the feature that differentiates a product or service from the competition.

It's important to define your USP in the development phase to make sure your project, product or organization has something distinct to offer customers.

Feasibility

Feasibility means **how possible or practical something is,** whether an idea, plan, or project *can actually work* in real life



Prototype

- A prototype is **the first working model** of a product, a rough version used to test and improve the design before full production.